
Cold Opportunity (A): The Nils Bergqvist Story

Nils Bergqvist was born in central Sweden. His father was Norwegian and from a family of seafaring folk, who worked in the Norwegian Sea. His oldest cousin was captain of a big boat. Bergqvist's first dream was to be a captain:

When I was just five or six years old, he was standing there with his big white hat and I said, "I shall also be a captain." I became a captain, but actually, I have not been working at it. As I was growing up, I decided to see the world, so I went on one of those boats around Sweden several times and to many parts of the world. As I was doing that, I was also skiing, and all the time when I was out on those boats, I missed the skiing. So when I came home, and the snow was gone in other places, I went up to the North, and I was skiing about three or four weeks until the last snow was gone, and then I was standing there and was thinking about being a sailor or starting with something here.

Bergqvist's interest in the environment led him to become an environmental engineer. As he was finishing school, he applied for a job at a big mining company that had interests in Kiruna (in northern Sweden). He described his stint there:

The most boring part of working in a mine company was that you have a number. My number, what do you call it, an employee number, I had 3717 or something. That was before your name. So they were calling me 3717, not my name. I couldn't stand that. I was thinking of it often.

Bergqvist also observed that his colleagues seemed to be marking time until Friday rather than being engaged in their work. "Anyway," he said, "I felt that this is not my place."

During the eight years Bergqvist was working for the mining company, he did quite a bit of canoeing and river rafting. He began taking tourists with him. He would wake up very early in the morning and head to the tourist bureau to see if anyone wanted to go down the river by kayak. Almost every day there were people interested. What started out as a casual hobby turned into a business of sorts:

I had one client who paid me, and then there was someone who wanted to pay me to come pick him up. It was not exactly a business, but it was fun. The tourist bureau sold the ticket, but I was an independent tour guide for my own project. I took just one client in my kayak and went down all the rapids—40 km every day, big rapids. That was fun, and they were wet. It was not very economical. I was getting paid from my day job at the mine company. I did this for fun. But what I earned was coffee money.

This case was prepared by Saras D. Sarasvathy, Associate Professor of Business Administration, Darden School of Business, with assistance from Magnus Aronsson, Managing Director, Entrepreneurship and Small Business Research Institute, Sweden. It was written as a basis for class discussion rather than to illustrate effective or ineffective handling of an administrative situation. Copyright © 2009 by the University of Virginia Darden School Foundation, Charlottesville, VA. All rights reserved. To order copies, send an e-mail to sales@dardenbusinesspublishing.com. No part of this publication may be reproduced, stored in a retrieval system, used in a spreadsheet, or transmitted in any form or by any means—electronic, mechanical, photocopying, recording, or otherwise—without the permission of the Darden School Foundation.

For me it was training paddling. In my mind, I was strong, I was with a guest, and it was fun, I showed him my river, and I was training, training four or five hours hard down the river.

Bergqvist realized that his guests seemed to enjoy the trips, too. That got him thinking about expanding his operation.

“Then I was thinking about bigger boats: Maybe we could do something,” he recalled. “I heard about rafting in the Ganges or something in Nepal.” Bergqvist connected with a Swedish journalist who had traveled in those areas; although rain had prevented him from taking a boat tour, the journalist was able to provide Bergqvist with some brochures from boat tour companies he had learned about. Then, he said, “I just bought a boat and started to go with tourists. I saw that I needed more boats, and [eventually] I had more than 30 boats on the river.”

Bergqvist resigned from the mining company when he purchased his first boat. He had no earnings after the tourist season was over, but he was single and confident he could find seasonal work. In any case, he had so many guests through his tourist business that he was surviving. He grew the business to about 40 employees in the summertime. And even though the competition began to increase, with 30 to 40 companies in the region, Bergqvist’s business was doing well, at least partly because it had been the first one there.

Now a member of the growing local tourism industry, he also entered the restaurant business. That required him to hire full-time employees. But the seasonal nature of the tourist trade began to worry him:

We tried to find out something for winter. But when I asked here locally what to do, they said that this was not an idea, because it is too cold and too dark, and no reasonable person would go there. For me it was something else, because I like snow, I like skiing, and cold, cold climates. We have beautiful light, fantastic light, and even the Northern Lights. I love skiing when it is a full moon; it is fantastic. You can see your own shadow, and it is night. It is fantastic. All the time I see that.

The local tourist office, however, did not share Bergqvist’s enthusiasm; in fact, it closed during the winter. “So I tried to find guests from other countries,” he said.

Bergqvist Meets Sakata-San

In his quest to find something to do during the winter, Bergqvist traveled to other winter destinations such as Anchorage, Alaska. He heard in Alaska that many Japanese people came to see the Northern Lights. He contacted the Swedish Tourist Office, which had offices all over the world, to find out if it had any representatives in Japan. That led him to the Scandinavian Tourist Board in Tokyo. When Bergqvist asked if there were any travel agents in Japan who were interested in Scandinavia, the board gave him Sakata’s name.

Sakata was a businessperson. His family had a small factory in Japan that made beautiful gift boxes. The family also owned a small bar called Bar Finland, a nod to Sakata’s father’s having worked for the Japanese Consulate in Finland. Sakata was interested in Scandinavian travel. After one phone call, Sakata agreed to meet with Bergqvist in Sweden. Bergqvist described the meeting: “I told him that I would like to learn from him what we could do or what he believed we could do together. I had just ideas about doing something with snow and winter; I was focused on that, to find out something. But I didn’t know what.”

As a result of that meeting and the ensuing relationship with Sakata San, some Japanese tourists began traveling to Swedish Lapland. And Bergqvist began visiting Japan.

Trips to Japan

On one of his visits to Japan, Bergqvist went to Hokkaido, where they have the big snow festivals. Seeing the ice art outside his hotel, he asked the desk clerk whether any of the guests were artists. After having a beer with the artist Miho Aoki, Bergqvist invited her to come to Sweden. Miho Aoki and other invited artists came and created a small workshop where they demonstrated how they worked with ice (**Figure 1**).

Figure 1. Bergqvist's ice sculpture workshop.



Source: Courtesy of Nils Bergqvist.

The Ice Sculpture Workshop

The proposed workshop received a lot of press. About 14 artists including locals came to the north of Sweden on a Friday at the end of November 1989 and worked through the weekend getting ready for Monday's workshop. Local people also came by and took photographs as the artists sculpted eagles and reindeer out of the ice that Bergqvist and his people had cut out of the frozen river nearby. There was growing excitement about the beauty of the art, the skills of the sculptors, and the interest of all who stopped by. Bergqvist described that Sunday evening and what followed:

The evening was cold and clear, and I was working here. I had a family during that time. So we were watching it, and they were so impressed, so happy, it was so beautiful. People were photographing it all the time, local people here in the village. The next morning when I woke up at 6:00, I heard something strange. I couldn't believe it, but it was raining! It was raining, and it was plus seven degrees! It is true. I was making coffee, and I felt what would happen with that ice, and our tours start at 11:00. So when I came down, two of my people who were working were standing with sheets over the ice art. They asked me, "What should we do? It is terribly wet already. This is going to be destroyed." I remember also when the tourists came here at 11:00, the ice-art reindeer lay down—it was destroyed. I was thinking, "What are we doing?"

With the rained-out ice-art exposition in front of him, tourists and press pouring out of the train into Kiruna, and concerned local people beginning to arrive on the scene, Bergqvist sat down to think about what to do next.